

(Re)Defining Bull and Bear Markets

W*HAT IS A bear market?*

The popular definition is a 20% drop from peak to trough in multiple broad market indexes. There are other “round” number definitions—for example, a 5% drop is a “dip,” a 10% decline is a “correction,” and a crash is a fall of 30% or more.

These are made up numbers; media/pundit creations with no basis in any history or statistical analysis. Other than the fact that these are base 10 numerals—a coincidence of us primates having 10 fingers and 10 toes—there is no rational basis for these percentiles. There certainly isn’t any hard data supporting the significance of these percentages.

What is a bull market?

The popular definition is a 20% rally from the lows.

Why 20? Why not 25%, 30%, or perhaps 21.759%?

There is no historical origin of these numbers. The more important question for investors is this: *Are they useful?* Do these definitions assist in managing risk, deploying capital or even in thinking about market cycles?¹⁷⁶

No.

That’s definitively my answer.

Defining a bull or bear market by a percentage change doesn’t offer the insight needed to make investment decisions.

Just consider the depth of the 2015 correction peak to trough: The S&P 500 fell 15%, while the Russell 2000 Index lost 27%. Was it helpful to know the S&P 500 wasn’t in a bear market, but the small-cap Russell was? In May–October 2011, the S&P 500 suffered a 22% peak-to-trough decline, while the Russell 2000 fell 31%.

The strongest example of why 20% is a meaningless framework was the